

LNG Shipping - Quarterly Report Q3 2024

Oct 7, 2024

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Summary

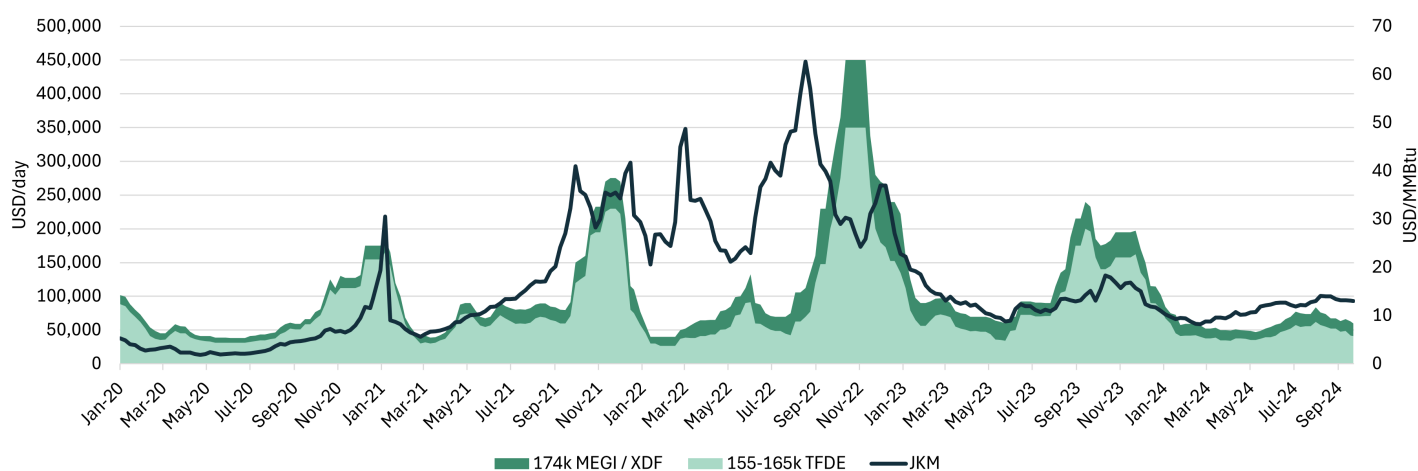
This has been another quarter with modest changes in the charter rates. Q3 started with some slight increases, and a wide premium for vessels available in the West versus the East. The gap narrowed almost immediately and even inverted, with two-stroke spot rates in the East at a premium to the West by the beginning of August, driven by a rebalancing of vessels and softening demand in the Atlantic. The peak in levels at the start of the quarter currently serve as the yearly charter rate peak, as rates have fallen since and the seasonal winter market is not yet in sight. The fundamentals are the main market driver, and while distances are long and tonne-miles high, the fleet is more than capable of doing the transport work, which has reflected in the rates. The list of open available steamers has been long throughout the quarter, but availability of modern tonnage has also been high.

The JKM LNG price has been in the range 11.7 to 14.4 \$/MMBtu throughout the quarter, relatively stable around the 13\$/MMBtu mark towards the end of the quarter. This is similar to Q3 levels in 2023, but significantly lower than in the two years prior. Current prices are high enough that there has been some demand destruction in price sensitive areas.

34 orders were placed in Q3; double the number placed in Q2. 24 of these are the Q-max orders at Hudong-Zhonghua for the Qatar expansion, eight are for ADNOC, and the last two are additional orders for Cosco at Dalian. 16 LNGCs have been delivered in Q3, meaning several orders have been pushed to Q4. To reach the originally-planned number of deliveries in 2024, 29 LNGCs will need to be delivered in the last quarter of the year. That would be 10 more than the historical record in Q1, 2018. Five of the remaining deliveries for this year were originally tagged to the Arctic LNG-2 project, so these are currently unlikely to be delivered to the project, but also unlikely to become trading vessels in the LNG fleet.

A shadow fleet has emerged for the first time in LNG, following other segments which have practiced sanctioned trade for years. So far, six cargoes have been lifted from the sanctioned Arctic LNG-2 project, and none have reached international markets. The operation of these vessels has been far from conventional, as two vessels have transited the Northern Sea Route without any ice class, two vessels completed open-sea ship-to-ship transfers and one recently crossed the Red Sea and the Bab el Mandeb strait. India has announced that they are not willing to take sanctioned cargoes, and with current relatively low LNG prices, most are not willing to risk sanctions for a slightly cheaper cargo. Most of the LNG from Arctic LNG-2 is currently stored in the two 360kcbm FSUs located in Murmansk and Kamchatka, and it remains to be seen if the cargoes can find an import market.

Spot charter rates and JKM



Source: JKM for S&P Global Platts

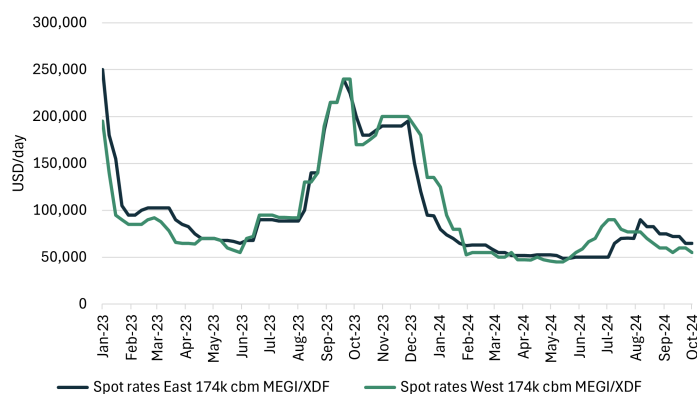
Charter Rates

Spot charter rates in the Atlantic were increasing at the start of the quarter, as the open inter-basin arbitrage drove a lot of tonnage East, making it harder to find suitable tonnage in the Atlantic. With a rebalancing of vessels, rates in the Pacific soon caught, reaching a peak in the beginning of August when rate reductions were already coming in the Atlantic. Since then, rates in both basins have fallen and are historically low this close to Q4. The quarterly average spot charter rate for a two-stroke was \$73k per day, marking the lowest levels since 2020 when COVID-19 impacted the LNG and LNG shipping market. While July levels were not too far off levels in the past three years, and actually slightly higher than in 2022, it is the absent surge in August and September which has produced this low quarterly average.

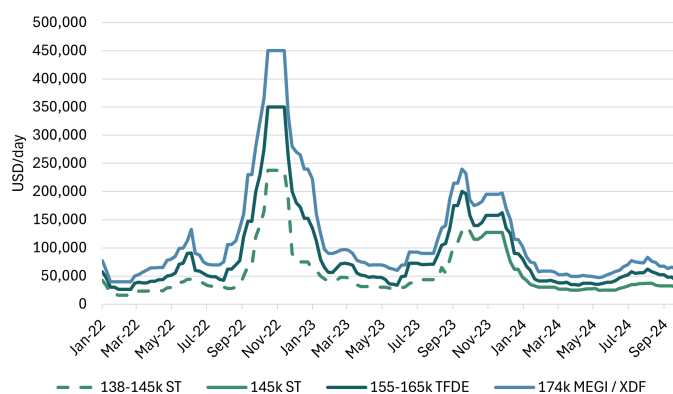
Term charter rates have also been on a downward trend throughout the quarter, although no big changes. Longer term rates are reducing mainly due to reduced finance cost, but also due to 20+ speculative orders and an orderbook that will see deliveries arrive before volumes. Current forecasts indicate a rebalancing/tightening in the second half of the decade, which has been clear for a while. Therefore, a lot of the reduction has been taken out already, and we do not see significant softening from current levels unless there is further softening in financing cost or newbuild prices.

On the shorter-term, the one-year rate has also seen a drop despite the slight increases in Q2 as the focus on winter fixing increased slightly. While owners are keen to fix multi-month to a year, to avoid idling in the shoulder months in an oversupplied 2025, charterers are likely thinking that winter coverage can be secured relatively cheap in the spot market.

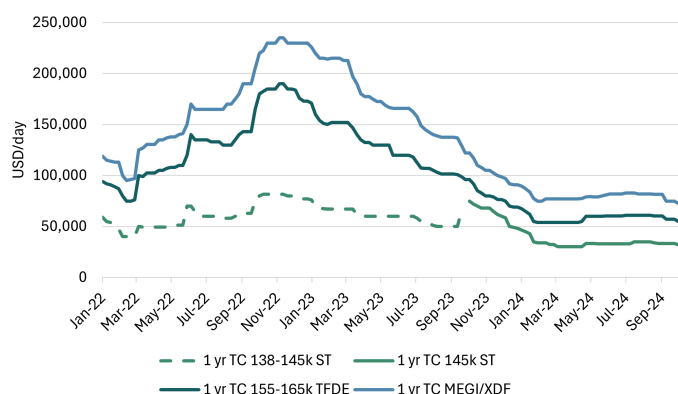
Two-stroke spot charter rates (East/West)



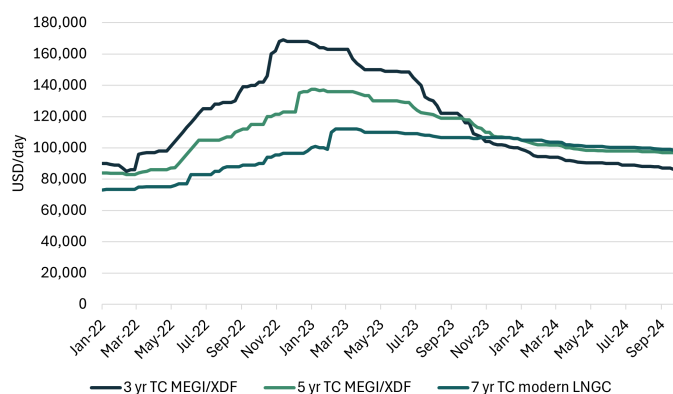
Average spot charter rates



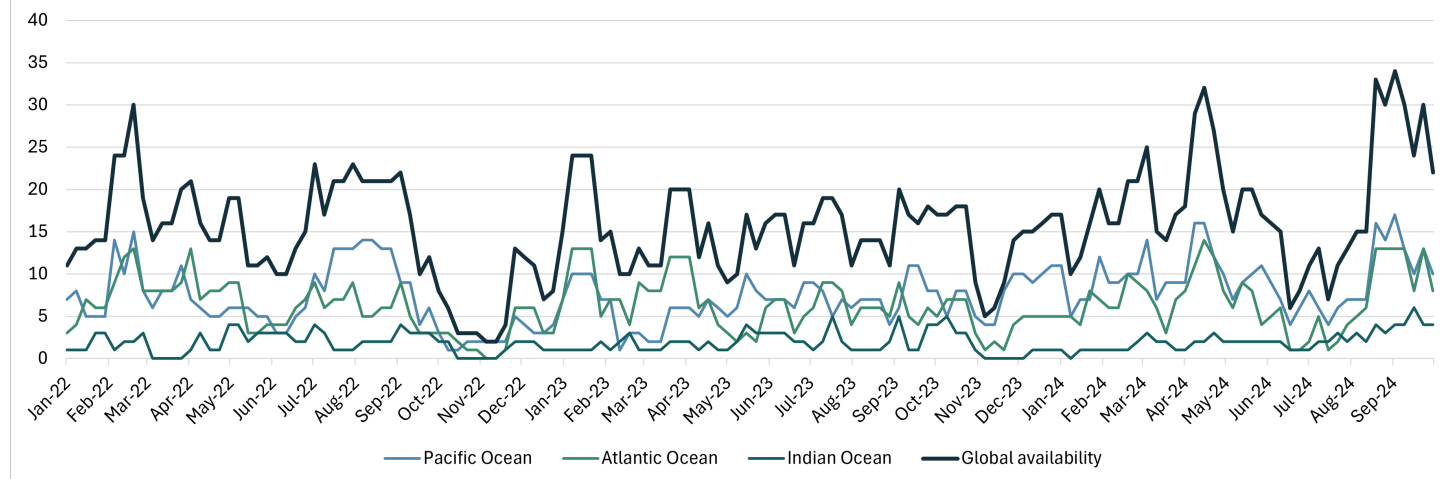
1-year charter rates



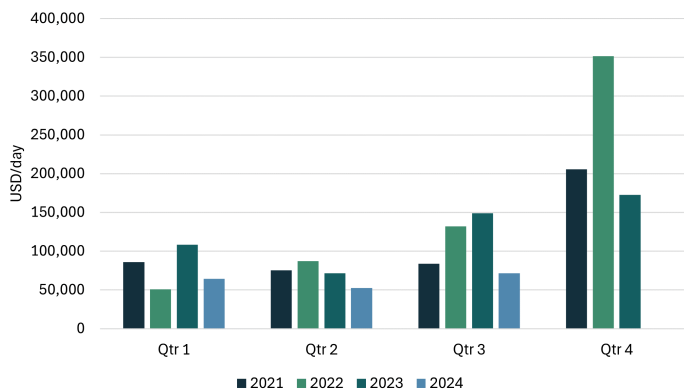
Term charter rates (two-stroke)



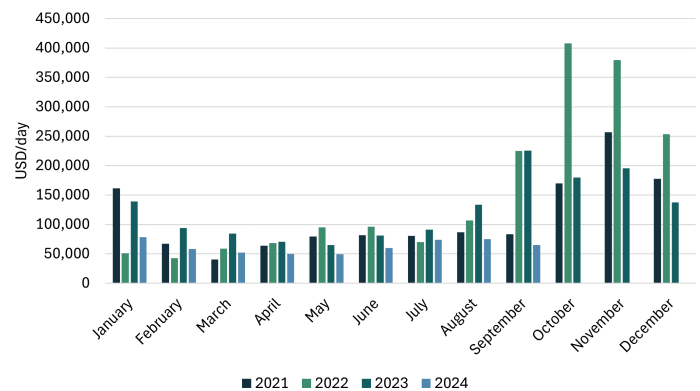
Prompt LNGC availability



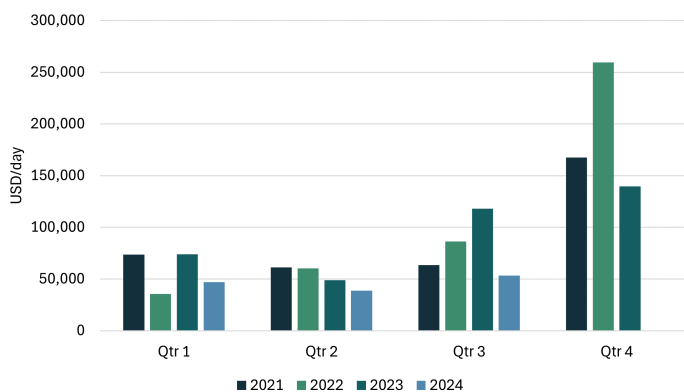
Quarterly spot charter rates (two-stroke)



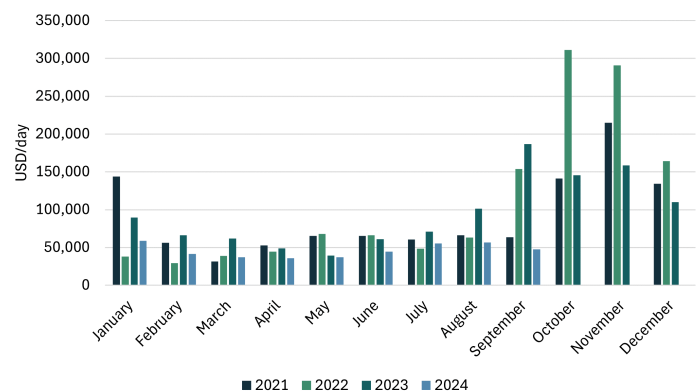
Monthly spot charter rates (two-stroke)



Quarterly spot charter rates (TFDE)



Monthly spot charter rates (TFDE)



Chartering Activity

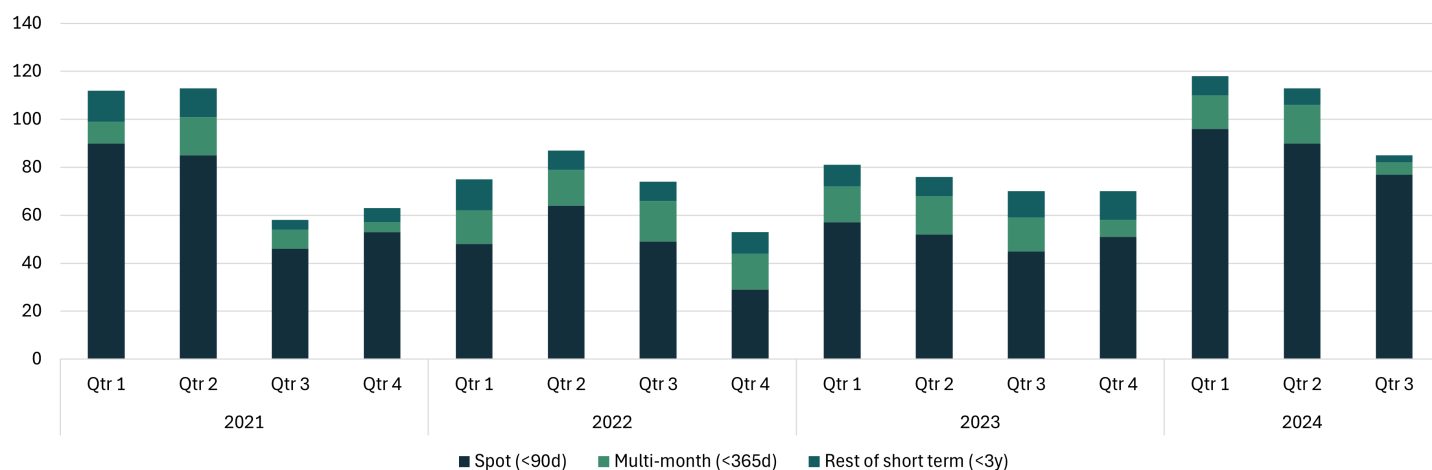
While spot activity in July was very high, activity has since dropped to much lower levels than seen earlier in the year. The high levels in July do, however, bring spot fixture counts almost in line with the very active Q1 and Q2 this year, and significantly higher than previous years' Q3 levels (the highest since 2020). Activity usually drops in Q3, as was also clear in August and September this year, and this has typically been due the lack of available ships going into winter; however, this year it can instead be explained by a lack of requirements, and the list of available ships has been more than sufficient.

Spot fixtures have on average been much shorter than in recent years: the Q3 spot fixture count is up by 71% YoY, but the number of fixed days is only up by 38%. On longer term charters, both multi-month and short-term up to 3 years,

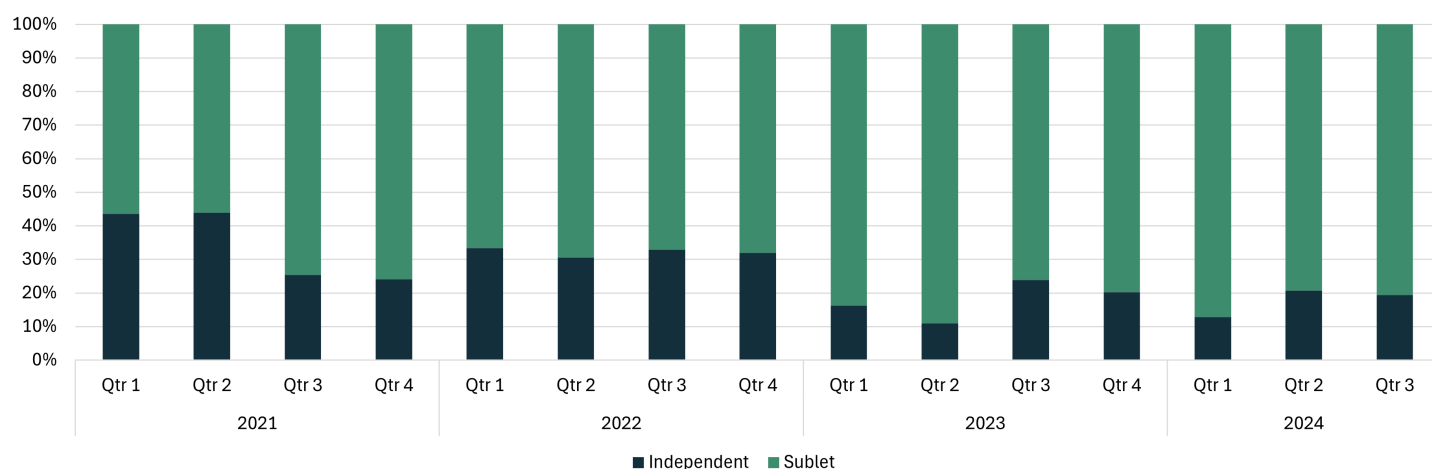
activity is significantly lower than previous years. Three one-year charters were concluded in Q3, so less than half those seen in Q3 last year, and the same as in 2022. In the 3-5 year range, only one fixture was concluded, and hence the focus on securing term tonnage for coming winters has eased.

80% of short-term fixtures were sublets, and while the wave of redeliveries which has already started could change that, the majority of redeliveries are 138k steamers which are increasingly difficult to charter out. Nonetheless, the share of short-term fixtures done for steamers increased from 9% in Q2, to 24% in Q3. Of these, 60% (12 fixtures) were 138k vessels, and the majority of duration less than 30 days.

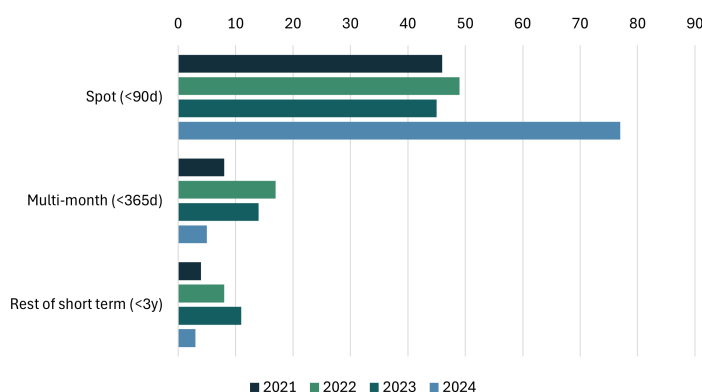
Short-term fixture activity (< 3 years)



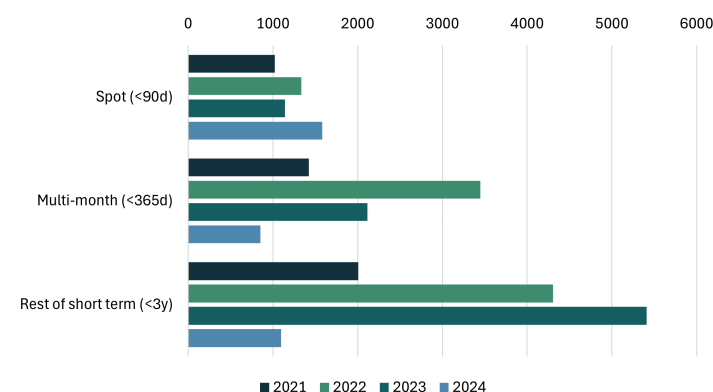
Short term fixtures by sublet vs independent owners



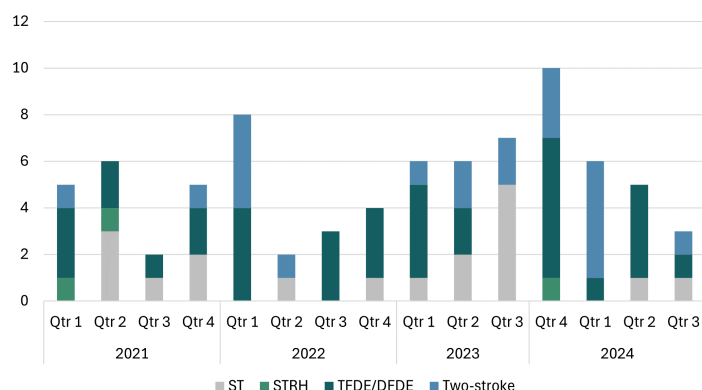
Short-term fixtures Q3 (count)



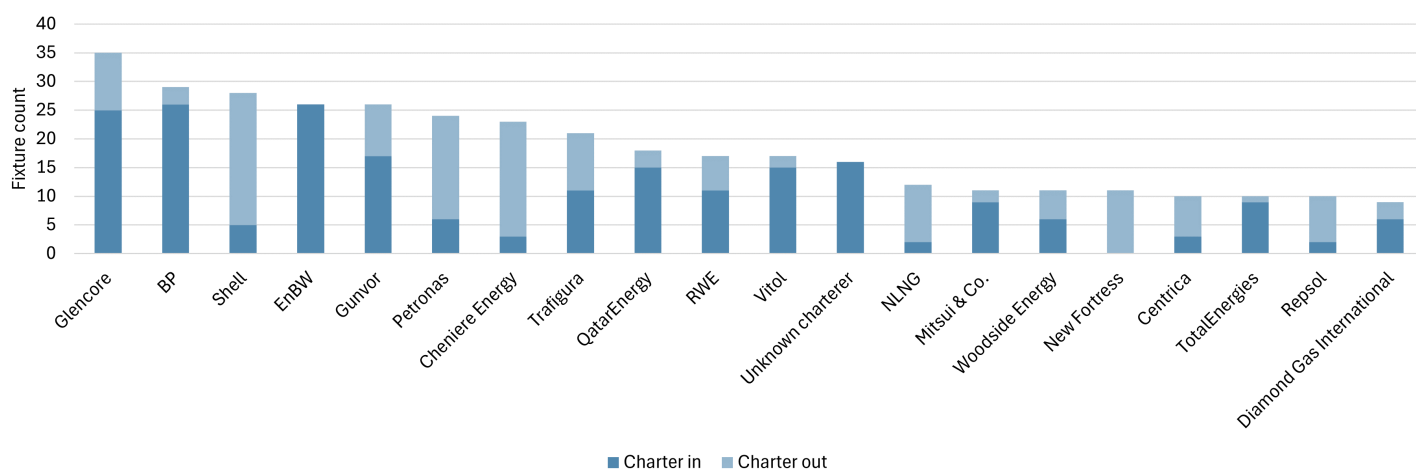
Short-term fixtures Q3 (fixed days)



1-year term deals



Top companies Q1-Q3 2024 (< 3 years)



Trade Flows

100 MT of LNG was loaded in Q3, up 2 MT from Q2, and 4 MT from Q3 last year. There haven't been any commissioning cargoes from new projects this quarter, except for Fast LNG Altamira loading its first "full" cargo on the very last day of the quarter. Plaquemines has received a partial cool down cargo from Hammerfest, and commissioning cargoes from this project, as well as from Corpus Christi Stage 3, are expected in Q4. This, in combination with the usual seasonal uptick in volumes as summer maintenance ends, should bring levels higher in the coming weeks. In fact, volumes did increase throughout the quarter, and monthly levels in September were almost 1.3 MT higher than in July.

The United States was the biggest exporter in Q2, with 1 MT more than Qatar, and 1.2 MT more than Australia. On the import side, China is leading, followed by Japan and South Korea as per usual. India has been very active this quarter, importing 13% more than in Q3 last year.

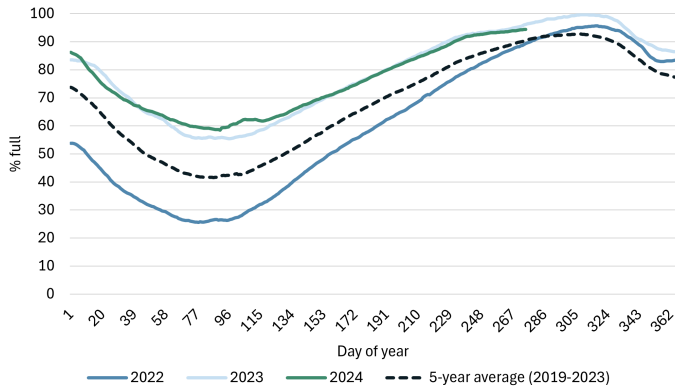
European storage levels are at 94% full, and since they were relatively full at the start of the summer season, refill needs have been limited. Europe only imported 19 MT in Q3, which is 21% less than in Q3 last year, and 30% lower than the year before. It is also 5 MT lower than in Q2. High renewable and nuclear output, as well as pipeline imports, have reduced European LNG demand. Asia has in turn imported 6 MT more than in Q3 last year, and 2.4 more than in Q2. The increase is largely driven by Japan, which has imported more than 2.2 MT more than in Q2 due to extended hot weather.

There has been some increase in LNGC transits via the Panama Canal, due to low European demand and an open inter-basin arbitrage. However, levels are still much lower than last year despite US to Asia flows being 33% higher for Q3. Red Sea transits are still avoided (Suez transits have mainly been to discharge in Aqaba and Ain Sukhna), so combined with limited Panama Canal use, the activity around Cape of Good Hope remains high. LNG fleet distances are therefore

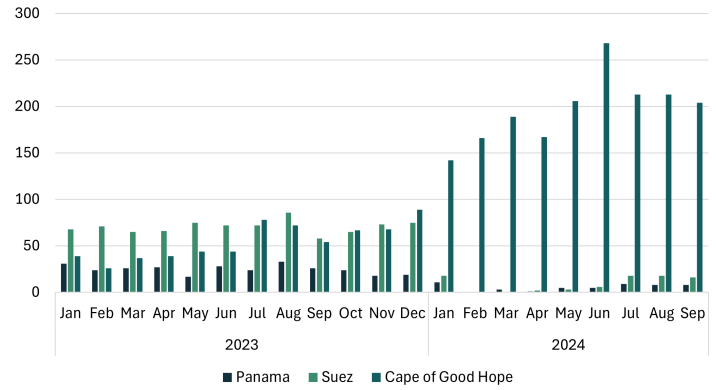
high, which has been driving tonne-miles higher than previous years. Tonne-time on the other hand, is relatively similar to last year despite the long distances, driven by slightly higher speeds.

The open arbitrage has resulted in 9 MT of US LNG heading to Asia in Q3, which is 43% and the highest levels seen since 2021. The trend for Qatar cargoes has continued, with only 10% heading to Europe (compared to an historical average of 20%).

EU storage levels

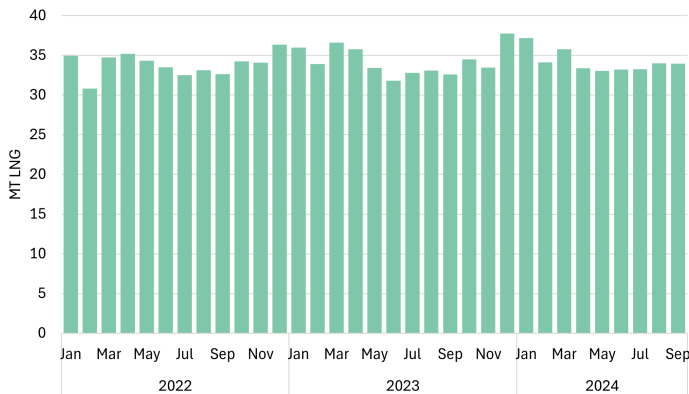


LNGC waypoint transits

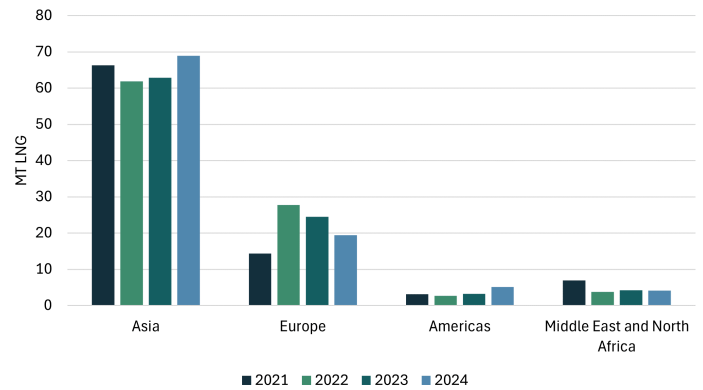


Source: left: AGSI, right: Vortexa

Loaded LNG

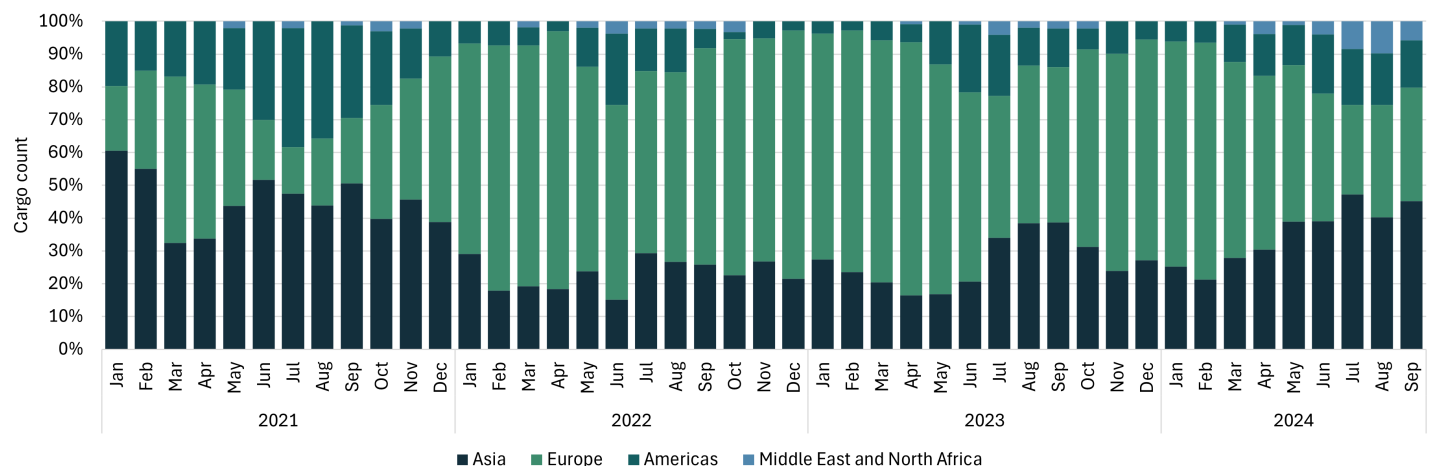


Q3 imports by region



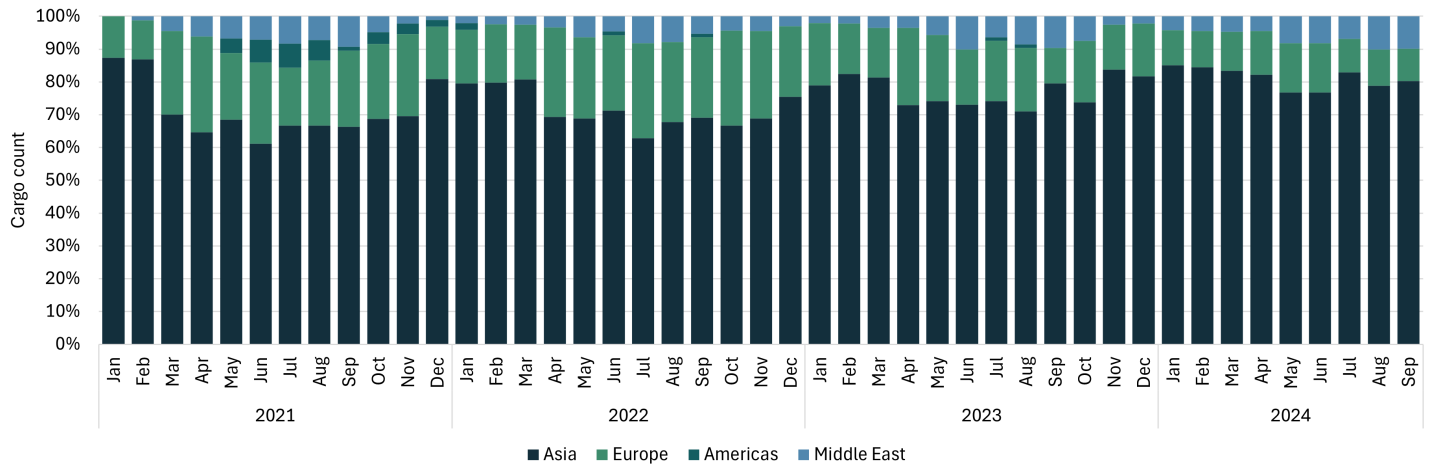
Source: Vortexa

Destination of US LNG



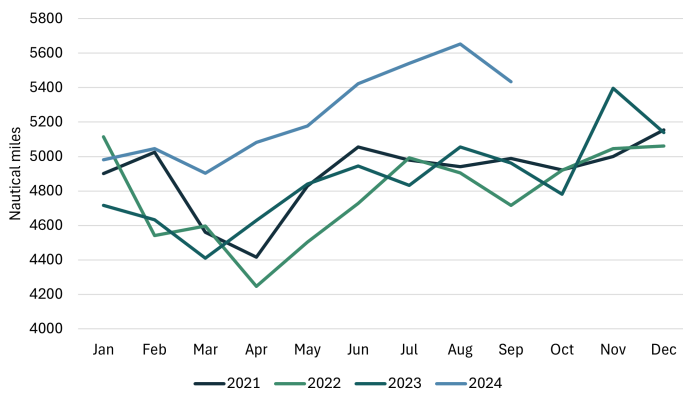
Source: Vortexa

Destination of Qatar LNG

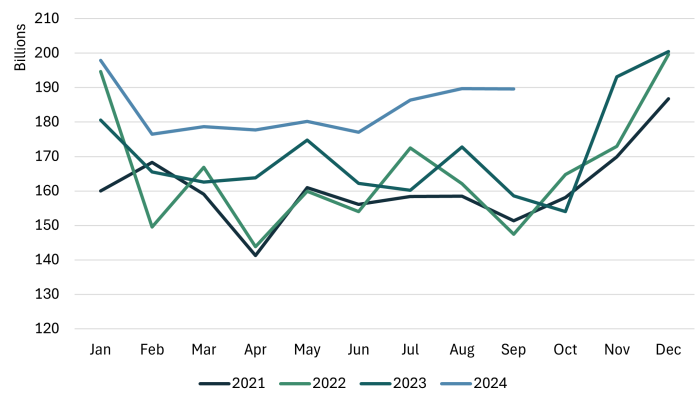


Source: Vortexa

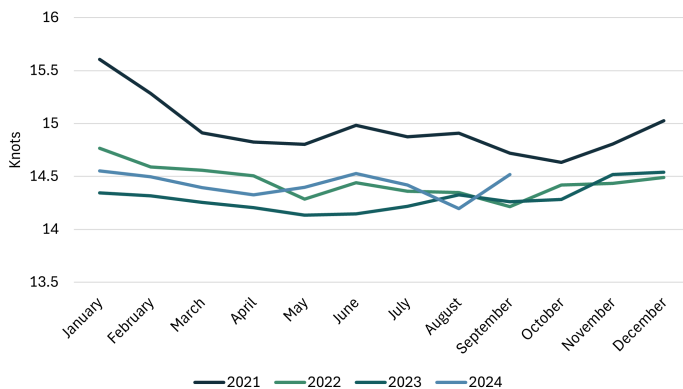
Average fleet distance (laden)



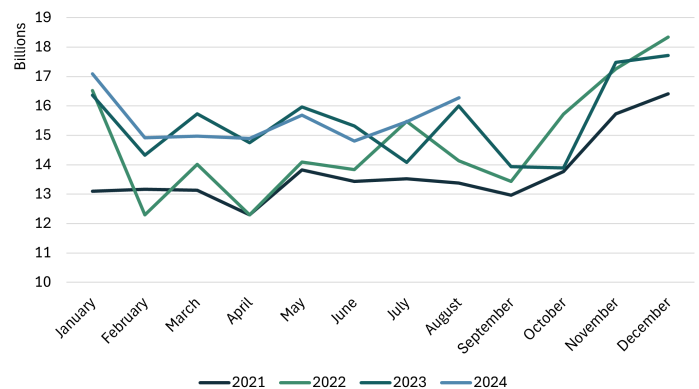
Tonne-miles



Average fleet speed



Tonne-time



Source: Vortexa

LNGC Fleet

There are currently 672 LNGCs live on the water (counting three already delivered in Q4 as well), five in layup and 338

on order. The orderbook-to-fleet ratio is thus 50%, and with some slow-down in ordering, this ratio seems to be on a downward turn.

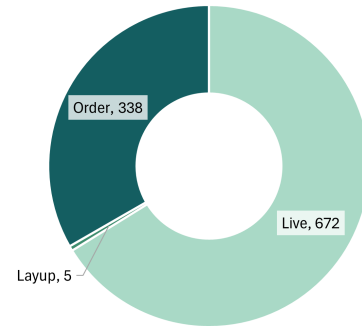
The fleet grew by 16 vessels in Q3, which leaves another 26 to be delivered in the remainder of Q4 if planned delivery years remain on track. However, nine of these outstanding deliveries were originally for Arctic LNG-2/Novatek, so 21 is likely a more realistic number for Q4 (including three already delivered). 34 orders were placed, of which the majority were for the Qatar expansion project.

While the fleet keeps growing at a fast pace, the number of vessels leaving the fleet is limited. Only one vessel was sold for scrap: the 126k cbm, 1979 built Coral Energy, owned by Sinokor.

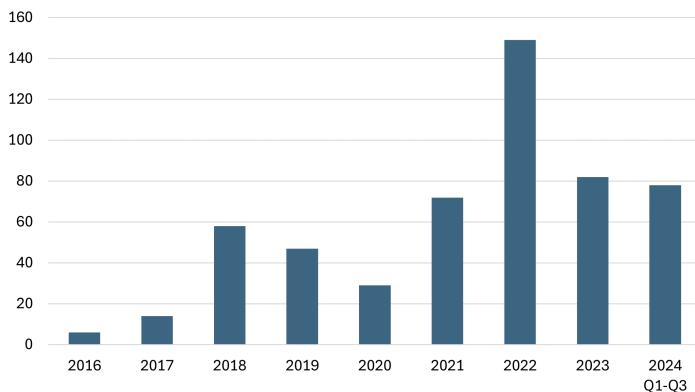
That leaves 16 ships that are older than 30 years old, 93 which are older than 20. In addition to the numerous steamers redelivered to owners so far this year, another 21 are scheduled to redeliver in Q4 according to our records, of which 80% are 138k cbm or smaller.

2025 is still the year where the most deliveries are expected, currently 88 scheduled deliveries. 2026 is also fully booked with 84 scheduled deliveries, and only very limited slots could be made available in 2027. 24 ships in the orderbook are charter-free, of which the majority deliver in 2026 and 2027. 71% of the orderbook is being built in South Korea, and 28% in China.

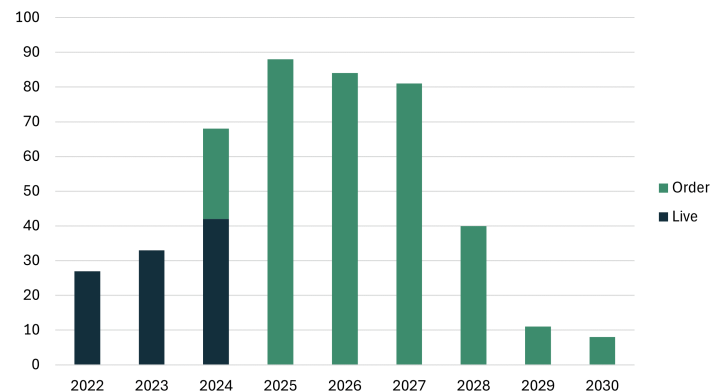
LNGC fleet by status



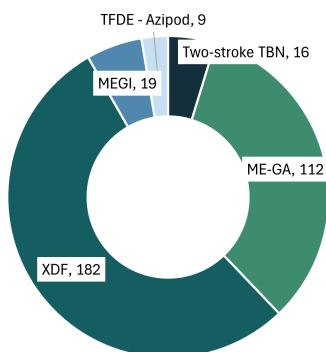
LNGC orders



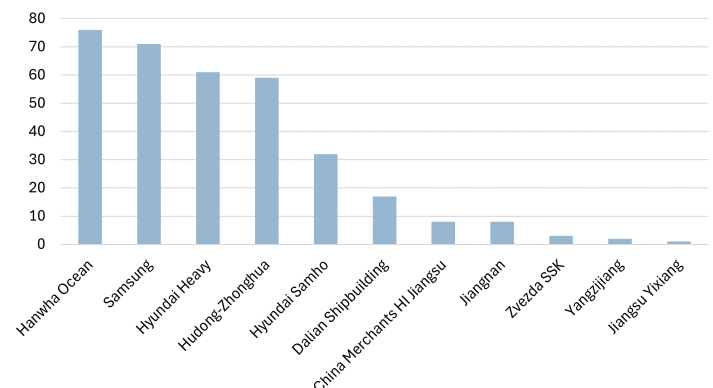
LNGC deliveries



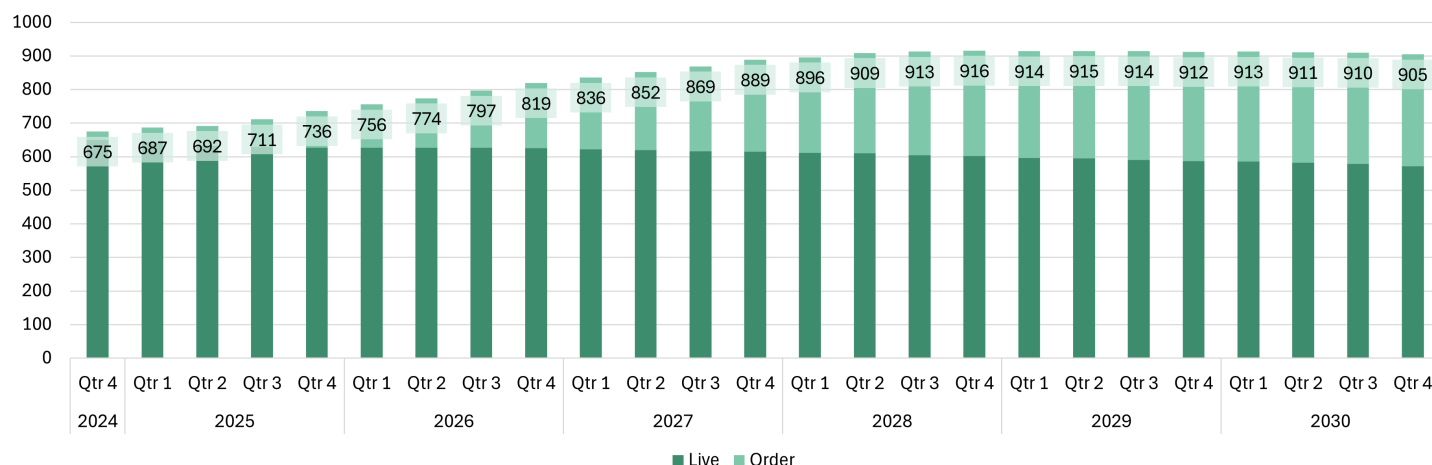
Orderbook by propulsion



Orderbook by yard



Fleet evolution (considering current orderbook and phase-out at 25 years)



Outlook

We still believe fleet utilization will be higher this winter than it has been throughout the summer, due to seasonally higher production levels. While long distances have kept fleet utilization relatively high throughout the year, the significantly reduced focus on energy security, with lower LNG prices and limited contango opportunities, have kept sublet willingness high and availability lists long. We don't think utilization levels in the last three years should be representative for rate forecasts, as the theoretical utilization of the fleet is currently higher than it was at the same in the previous three years, yet rates in previous years have been on a steep climb towards the winter peak, unlike this year. As the Suez Canal is likely to remain unused, this winter market comes down to the inter-basin arbitrage and the weather. Our calculations do however show that even with a sustained open arbitrage, the rapid fleet growth ensures that the fleet is capable of the additional transport work, and without help from the cargo market it should not cause rate jumps anywhere near to those seen in the last few years.

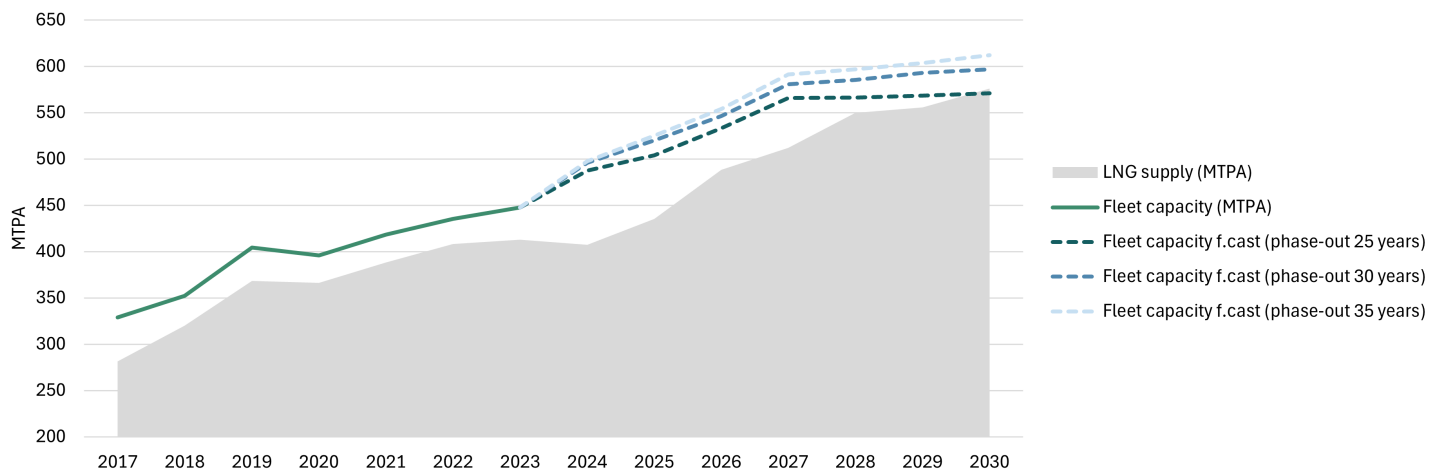
In addition to the seasonally higher production levels, some commissioning cargoes are expected from Plaquemines and Corpus Christi Stage 3. However, the fleet continues to grow significantly faster than the LNG supply. With recent delays, most capacity scheduled for commissioning in 2025 is coming towards the end of the year. This means that we should prepare for another summer season with high fleet availability, and decreasing utilization of the oldest vessels. We expect the oversupply to continue well into 2027, but a tightening trend is expected from 2026 given current project plans and vessel deliveries. There is likely need for more LNGC newbuilding by 2028, but that depends on the pace of fleet phase-out. Seeing as almost 70 LNGCs are celebrating their 25th birthday in the remainder of the decade (in addition to the 30 that are already older), the total fleet capacity is very dependent on the age of which we see vessels leaving the trading fleet. While the historical age limit has been high, we do see a changing trend with environmental regulations, parcel sizes, and terminal age restrictions, and believe tradability beyond 25 years is limited.

Environmental regulations are an increasing part of discussions, with the EU ETS already in force and FuelEU Maritime just months away. The FuelEU Maritime will affect LNGCs trading to Europe already from January, 2025, and some of the most modern vessels will be affected by 2034.

There has been a clear slow-down in project FIDs, both in the United States due to the pause in approvals, but also in the rest of the world. While more FIDs are expected, we do not see any significant upside to the currently planned (FIDd) volumes this decade. That should bring LNG liquefaction capacity to about 660 by 2030 (of which historically 85% is actually produced), which is well in line with several LNG demand forecasts.



Fleet balance (at different phase-out ages)





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